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केन्द्रीय सतर्कता आयोग
CENTRAL VIGILANCE COMMISSION



सतर्कता भवन, जी.पी.ओ. कॉम्प्लेक्स,
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सं./No. 18/MISC/33/393232
दिनांक / Date: 30.08.2018

OFFICE MEMORANDUM

Sub: Sale of loan assets of the value of Rs. 50 Crs. and above to Assets Reconstruction Companies (ARCs) by Banks - Preventive Check.

The Commission had occasions to examine certain cases relating to sale of Stressed Assets (SA)/Non-Performing Assets (NPA) by banks to ARCs. It has been observed by the Commission that guidelines laid down with regard to sale of assets and monitoring of the realization out of the Securities Receipts (SRs) are not being scrupulously followed/monitored leading to loss to the banks and potential vigilance cases. The Commission has therefore decided to look into the matter whether banks have placed an appropriate Standard Operating Procedure (SOP) relating to sale of SAs/NPAs as per guidelines of RBI and are monitoring the realization out of SR and protecting the best interests of the banks.

2. The Commission, therefore, has decided to call for the following data from all Public Sector Banks and Financial Institutions under its jurisdiction:

- i) RBI vide circular DBR No. BP.BC.9/21.04.048/2016-2017 dated **01/09/2016** has laid down that the Board of banks shall formulate detailed policy and guidelines on sale of their stressed assets to a Securities Reconstruction companies. The RBI has also given indicative aspects to be kept in mind. It does not appear that guidelines on sale of SAs have been issued by the banks.

- ii) In order to enhance transparency in the process of sale, it was also decided that identification of SA beyond a specified value shall be top down and at least once in a year, preferably at the beginning of the year. Banks, with the approval of the board, were to identify the specific financial assets for sale.
 - iii) Further, all assets classified as doubtful assets above a threshold amount should be reviewed by the Bank Board.
 - iv) Banks should have clear policy regarding the stressed assets to be sold and in case the exposure is beyond Rs. 50 crores, the banks shall obtain two external valuation reports.
 - v) The banks shall review the efficacy of their extant policies on sale of NPAs.
 - vi) The banks shall put in place, with the approval of the Board, Swiss Challenge Method for sale of stressed assets.
 - vii) The banks shall undertake periodic review of stressed assets portfolio.
 - viii) The ARC is expected to give effect to the provisions of 7(1) & (2) of the Act through one or more of the trusts set up for the purpose. While the trusteeship of such trust shall vest with the ARC and the bank is beneficiary of the trust through SR held by it, it is imperative that the bank exercises some control on the manner of financing of the trust.
3. In this regard, it is necessary to scrutinize the following:
- i) Whether proper books of accounts are maintained by the Trust.
 - ii) Whether such accounts are audited.
 - iii) Whether copies of the audited accounts and other relevant necessary information is being furnished to the bank.
 - iv) Whether the statements of accounts are obtained in case the trust's account is maintained with another bank.
 - v) If the account is maintained with other bank, the reason thereof.
 - vi) Whether the bank is verifying/reviewing the expenses charged on the trust including management fee and incentives.
 - vii) Whether the trust is expeditiously and periodically disbursing the realization by the trust to the holders of SR.

- viii) Whether the trust/ARC consulted the bank before it disposed off the assets.
 - ix) Whether amounts realized on the sale of assets are around the same value at which it was taken into account while disposing off a loan asset or not. If less, the reasons thereof.
4. Two proformae listing out the above criteria - one relating to the policy and procedural issues, and the second, relating to individual specific cases, where SA/NPA of Rs. 50 crores or more (as per books of banks) has been sold - are enclosed. The data relating to SAs sold during **01.10.2016 to 31.03.2018** may be submitted by 14-09-2018. Information may be submitted in soft copy in MSXL format through email on **manish.tandon@gov.in** to be followed by a hard copy.
5. This issues with the approval of the Commission.


(Manish Tandon)
Advisor

Encl: as above.

To,

CVOs of Public Sector Banks and Financial Institutions

Proforma-I**Bank's Name:-**

Sl. No.	Question	Response
1	Whether guidelines for sale of Stressed Assets (SA) issued by the Bank's Board as per detailed guidelines of RBI (Yes=1, No=2). If yes, attach scanned copy. If no, reasons may be furnished.	
2	Date of issue of internal guidelines by your bank (date)	
3	Date of subsequent amendment if any (date)	
4	Whether guidelines comply with indicative aspects of RBI (Yes=1, No=2)	
5	Whether SA/NPA identified for sale approved by Bank's Board (Yes=1, No=2)	
6	Periodicity of approval of assets for sale by board (Quarterly=1, half yearly=2, yearly=3, unspecified period=4)	
7	Whether doubtful assets above a threshold reviewed by Bank's Board (Yes=1, No=2)	
8	Whether Bank has clear policy regarding sale of stressed Assets beyond Rs. 50 Crs. (Yes=1, No=2)	
9	Whether the above and policy on NPA reviewed periodically (Yes=1, No=2)	
10	Date of which the above and policy was last reviewed (Yes=1, No=2)	
11	Whether Board approved Swiss challenge Method for sale of stressed Assets in place at the bank (Yes=1, No=2)	
12	Periodicity of review of stressed asset port folio (Monthly=1, Quarterly=2, half yearly=3)	
13	Remarks/any other inputs	

Proforma-II

**Sale of loan assets of the value of Rs. 50 Crs. and above to Assets
Reconstruction Companies (ARCs) by Banks-**

(Statistical Data)

Sl. No.	Particulars	Response
1	Name of the Bank	
2	Name of the account sold	
3	Name of ARC to whom asset was sold	
4	Date of original sanction of loan	
5	Last renewal/enhancement date	
6	Date of Account turning NPA	
7	Outstanding in a/c as on date of NPA	
8	Interest accrued but not applied	
9	Date of identification of assets for sale to ARC	
10	Date of sale to ARC	
11	Amount for which SA/NPA was sold to ARC	
12	Out of 11 above, value of SRs received	
13	Out of 11 above, amount received by cash	
14	Total realizable value of security –primary & collateral as on date of sale	
15	Total amount due on date of sale to ARC (7+8)	
16	Value of Primary Security at the time of sale	
17	Value of Collateral Security at the time of sale	
18	Date of valuation report by Valuer-I	
19	Valuation amount by Valuer-I	
20	Realizable value assessed by Valuer-I	
21	Date of valuation report by Valuer-II	
22	Valuation amount by Valuer-II	
23	Realizable value assessed by Valuer-II	
24	Whether the ARC entrusted with an asset by bank has set up a trust (Yes=1, No=2))	
25	Whether the trust is maintaining its trust account with your bank?	
26	If no to 25 above, specific reasons may be given for the same.	
27	If trust account is maintained with another bank, details of such bank account may be provided.	
28	Whether the bank exercises control on the manner of financing the trust by ARC (Yes=1, No=2)	
29	Whether proper books of account maintained by the Trust (ARC) (Yes=1, No=2)	

30	Whether audit reports of Trust accounts shared with the bank regularly (Yes=1, No=2)									
31	Are such audit reports regularly checked by internal auditors or inspecting authorities of the bank and follow up action taken?									
32	Whether copy of statement of account of Trust received regularly by the bank									
33	If yes, whether the trust account/statement is being reviewed/duly analyzed by the bank									
34	Whether any discrepancies found in statement of Trust account. If yes, give details.									
35	Amount of realization from sale of assets in the trust account as on date									
36	Whether expenses charged on Trust account analyzed/reviewed by bank (Yes=1, No=2)									
37	Periodicity of realizations from Trust account to SR holder (Monthly=1, Quarterly=2, Half yearly=3, Unspecified interval=4)									
38	Whether periodicity as above maintained (Yes=1, No=2)									
39	Whether amount realized on sale of SA/NPA <table><tr><td>(a)</td><td>Was at the value assessed when asset was sold to ARC</td></tr><tr><td>(b)</td><td>Was at a value above the value assessed when asset was sold to ARC</td></tr><tr><td>(c)</td><td>Was at a value below the value assessed when asset was sold to ARC</td></tr><tr><td>(d)</td><td>Asset not yet fully sold</td></tr></table> (Answer (a), (b),(c) or (d))	(a)	Was at the value assessed when asset was sold to ARC	(b)	Was at a value above the value assessed when asset was sold to ARC	(c)	Was at a value below the value assessed when asset was sold to ARC	(d)	Asset not yet fully sold	
(a)	Was at the value assessed when asset was sold to ARC									
(b)	Was at a value above the value assessed when asset was sold to ARC									
(c)	Was at a value below the value assessed when asset was sold to ARC									
(d)	Asset not yet fully sold									
40	Expenses charged on the fund so far (a) Incentive charged- (Amount year wise) (b) Management fee charged- (Amount year wise) (c) Other expenses (to be specified)- (Amount year wise)									
41	Whether audit fee for Trust account borne by SR holders									
42	If yes, the Audit fee paid year wise									
43	Whether ARC consulted the bank before disposing off assets (Yes=1, No=2)									
44	Any other remarks not covered above									